

DEAL INTELLIGENCE

Infinity and KB Realty's \$12M SoHo Retail Buy Shows Basis Still Beats Story

The deal signals that retail condos with in-place cash flow can still command debt, but only at the right price.

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Infinity Real Estate and KB Realty Partners just paid \$11.75 million for the retail condominium at 75 Kenmare Street in Nolita. The price is not the story. The price is the evidence that a specific underwriting condition still works in Manhattan retail: a defensible basis, in-place cash flow, and a lender willing to finance the combination.

The joint venture acquired the 10,000-square-foot retail component from First Atlantic Realty. ConnectOne Bank provided the acquisition financing. The retail space is fully leased to four tenants: Undefeated, Nemesis Coffee, Bondi Sushi, and M Jewelers. Above the retail sits a 38-unit luxury condo building designed by Lenny Kravitz, which was not part of the purchase.

This is not a bet on retail broadly. It is a bet on a specific capital stack. The buyer is underwriting the existing income stream, not a future repositioning. The lender is underwriting the buyer's ability to carry the asset through the current rate environment. The seller is not exiting retail. First Atlantic Realty is recycling capital out of a stabilized asset at a price the market will accept.

The deal follows a pattern. Infinity paid \$13.3 million for the retail condo at 40 Bleecker Street in late 2024, also at the base of a luxury condo building. That transaction was described by the firm as a redeployment of capital back to New York retail. The 75 Kenmare purchase extends that thesis: buy retail condos with strong tenancy, dependable cash flow, and a tenant mix that fits the neighborhood. The strategy is not speculative. It is income-driven.

KB Realty Partners has been building its own conviction in SoHo. Jon Krasner, the firm's managing partner, bought 40 Thompson Street for \$23.1 million and 123 Lafayette Street for \$21.8 million last year. The latter was also purchased from First Atlantic Realty. The 75 Kenmare acquisition is a natural extension of that portfolio. Krasner is not diversifying. He is concentrating.

The underwriting condition that makes this deal investable is the same one that separates a trade from a story: the basis. At \$11.75 million for 10,000 square feet, the price implies roughly \$1,175 per square foot. That is below peak pricing for prime SoHo retail condos, which traded above \$2,000 per square foot in the 2015-2019 cycle. The discount reflects the post-2021 repricing of retail assets, higher interest rates, and the market's demand for a cushion.

The lender's willingness to provide acquisition financing is the second condition. ConnectOne Bank is not a national money-center lender. It is a regional bank with a focused underwriting approach. The loan signals that regional banks are still active in retail, but only for assets with proven cash flow and sponsors with balance-sheet credibility. The debt is not cheap. It is available.

The tenant mix reinforces the underwriting. Undeclared is a streetwear retailer with brand recognition. Nemesis Coffee, Bondi Sushi, and M Jewelers are neighborhood-oriented operators. None are distressed. None are likely to vacate in the near term. The buyer is not betting on a leasing recovery. It is betting that the current tenants will continue to pay rent.

The seller's motivation is worth examining. First Atlantic Realty sold 123 Lafayette Street to Krasner last year and now sells 75 Kenmare. The firm is not liquidating. It is rotating capital out of stabilized retail condos at prices that allow the buyer to underwrite a reasonable return. The seller is not capitulating. It is taking liquidity when the market offers it.

The broader market signal is that retail condos with in-place cash flow can still trade, but only at prices that reflect the current cost of capital. The days of paying for future rent growth are over. Buyers are paying for what exists today. Lenders are financing that reality, not a pro forma.

For owners of similar assets, the implication is clear: if the basis is right and the income is real, there is a bid. But the bid is narrow. It requires a sponsor with conviction, a lender with local knowledge, and a price that leaves room for the unexpected. The market is not rewarding optimism. It is rewarding structure.

The next test for this corner of the market is whether the same underwriting works for larger retail condos, for assets with shorter lease terms, or for properties in neighborhoods where the tenant mix is less established. Infinity and KB Realty have answered one question: a stabilized retail condo in Nolita can trade at \$1,175 per square foot with debt. The market will now watch whether the same math holds for the next deal.

SOURCES

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